

# Can India Become Global Manufacturing Hub?

The EMS industry in India is eagerly looking forward to the implementation of the new manufacturing policy announced by the government, as it will create a level-playing field for them to compete with global counterparts



There is a tremendous opportunity in the defence, automotive and consumer goods sectors. Local EMS players are responding to the situation by enhancing their capacities as well as upgrading the facilities in terms of quality and technology.

## Major drivers

The large domestic demand fuelled by growing middle class and upcoming rural population with surplus buying capacity are mainly driving the growth of EMS business in India. The demand is further shifting from Tier-I cities to Tier-II and Tier-III cities.

The majority of EMS business is driven by the consumer electronics sector because of its large volume. Most of the professional and industrial electronics products consumed in India are still made outside the country.

UMA GUPTA

**T**he electronics manufacturing services (EMS) industry in India is poised for a major growth. As per a market study conducted by the Department of Information Technology, government of India, the total demand for electronics goods in India could be \$400 billion by 2020. At the current growth rate of about 13 per cent, the Indian EMS industry could grow to only \$80 billion by that time.

So there is a huge gap of \$320 billion between demand and supply available for the Indian EMS industry to grab.

In consumer electronics, manufacturing is restricted to a few products including TVs. Even in mobile phones,

## Opportunities before Indian EMS companies

1. Achieve a turnover of about \$400 billion by 2020 involving investment of about \$100 billion
2. Create employment for around 28 million people at various levels
3. Increase exports in the electronic system design and manufacturing (ESDM) sector from \$5.5 billion to \$80 billion by 2020
4. Significantly enhance availability of skilled manpower in the ESDM sector
5. Create an institutional mechanism for developing and mandating standards and certification for electronic products and services